

Besides the market tide robbing the triangle ship of momentum, the triangle looks almost perfect. Price touches each trendline several times, crossing the triangle and overwriting the whitespace, but volume tends to rise instead of recede.

The two minor lows near the start of the triangle do not rest on the horizontal trendline. If you were to connect those two lows with a new horizontal trendline, the breakout would have come a bit sooner, but you still would have lost money if you shorted the stock.

In the summer of 1995 and into the fall (not shown), several peaks appeared near \$13. Those peaks acted as support and played a role in stopping the decline. The underlying support coupled with a rising stock market truncated the decline and turned a handsome descending triangle into an ugly loser.

## Statistics

[Table 65.2](#) shows general statistics for descending triangles.

**Number found.** I found 1,760 descending triangles in 831 stocks with the first appearing in July 1991 and the most recent in March 2019. Not all stocks covered the entire period, and some no longer trade.

**Reversal (R), continuation (C) occurrence.** In three of four columns, the triangle acts as a continuation of the prevailing price trend. Only in bull markets after downward breakouts does the pattern act as a reversal most often.

**Reversal/continuation performance.** As you scan across the columns, looking at the performance of reversals and continuations, be mindful to look at the number found. The large difference for upward breakouts in bear markets (39% rise for reversals from 72 samples versus 23% for continuations using 85 samples) might be due to the comparatively low sample counts.